
Fiscal Monitoring

Policy: The US Department of Agriculture (USDA) Audit Guide specifies that the objective of a local agency financial audit is "to determine whether the local agency has adequate control over funds and an effective accountability system." The purpose of a WIC local agency fiscal monitoring is to ensure that the local agency is in compliance with State rules and Federal Regulations.

Regulation: 7 CFR 246.19 (b), 7 CFR 246.20, 7 CFR 3015 Implements OMB circulars, 7 CFR 3016 Implements OMB circulars, P.L. 89-642 Child Nutrition Act of 1966 17-62 (11/6/92, p 33) Biennial review requirement P.L. 98-502 Single Audit Act, OMB A-87 Cost principles for state and local governments, OMB A-102 Grants and cooperative agreements with state and local governments, OMB A-110 Grants and agreements with institutions of higher education, hospitals, and other nonprofit organizations, OMB A-122 Cost principles for nonprofit organizations, OMB A-128 Audits of state and local governments, OMB A-133 Audits of institutions of higher education and other nonprofit organizations

Procedure/Additional Guidance:

The local agency financial monitoring is conducted in conjunction with the Colorado Department of Public Health and Environment (CDPHE) Financial Risk Management System (FRMS) team. The FRMS process was created within CDPHE to ensure standardization of the monitoring process across programs within the department and to eliminate duplication of efforts regarding information gathered at the local level during the fiscal monitoring visit. The result of this effort is a partnership between the department and the WIC program in evaluating each agency's compliance with contractual fiscal requirements. FRMS applies to all Colorado local health agencies and some nonprofit agencies.

FRMS provides the department the ability to implement risk-based monitoring. The foundation for the system is a standardized assessment of a contractor's financial management system and results in a risk rating of Low, Medium or High. The rating provides the WIC program with an understanding of how the contractor manages the funding received from the department and consequently what the potential is for noncompliance with fiscal requirements. The FRMS team conducts a thorough examination of each agency's overall accounting practices via a site visit at least once every 24 months and a questionnaire every 12 months for agencies exhibiting low risk. That visitation schedule increases to once per year for agencies rating "high." Areas reviewed include agency payroll and timekeeping efforts and policies and procedures among other topics. The results of this examination are maintained within CDPHE and the overall rating and recommendations for improvement (if applicable) are shared with the WIC program. A diagram of the FRMS process as well as a sample questionnaire is included with this manual.

The State Fiscal Unit Manager and/or WIC Fiscal Officer will perform an in depth fiscal monitoring of each local agency at least once every two years. In addition to using the information provided through the FRMS process, the WIC fiscal personnel will examination operational expenses specific to WIC reimbursement invoices, including supplies, equipment, travel, cost allocations specific to rent, phone, utilities, etc. If through the FRMS process, discrepancies are identified relating to personnel expenses charged to the WIC or the Breastfeeding Peer Counseling program, additional review of invoices may be necessary. Depending upon the size of the agency and the number of expenses to review, the fiscal monitoring visit will either be conducted on-site or through a desk audit process.

For those agencies that do not fall under the FRMS guidelines, the WIC fiscal officer will conduct a full monitoring, including a review of time and effort and payroll costs in addition to the operational costs mentioned above. The monitoring form for those agencies is listed at the end of this section.

An entrance interview conducted either in person or on the phone, will be held prior to the monitoring with appropriate local agency staff to explain the monitoring process. At least one local agency staff member must be available to answer questions. Due to the nature of a fiscal monitoring, this may involve staff members from various departments (i.e., personnel, accounting), as well as a WIC staff member.

An in-depth fiscal monitoring consists of the State staff member looking at the source documentation to back up all costs billed to WIC. The Contract Reimbursement Statements (CRTs) for the period of time being monitored will be compared to the source documents to assure that all costs are properly supported and allowable. A sample of the fiscal monitoring form is provided on page 3.

The following types of records must be made available by the local agency at the time of the review:

- Original receipts, invoices, etc. for all items charged to WIC (supplies, utilities, etc.).
- Lease agreements (where applicable).
- Documentation of the methodology used for allocation of costs (where applicable).
- Travel expense forms.

An exit conference conducted either in person or on the phone, will be held with appropriate local agency staff to discuss results of the monitoring and any recommendations. A written summary of the monitoring visit will be sent to the local agency within 30 days. The local agency will respond with a written plan of action and target dates for resolution of problems not already corrected. After review of the local agency's response, the State agency will follow up as necessary. Any unallowable costs found during the monitoring will be reclaimed within the same fiscal year either through a check paid to the CDPHE or through a credit to a reimbursement invoice submitted within the same fiscal year as the unallowable expense. The replayment methodology shall be approved in advance by the WIC Fiscal Administrator.

All local agencies will ensure that the WIC Program is included in audits of the agency as required in the state/local agency contract.



Fiscal Monitoring Form

PART I: Local Agency Fiscal Monitoring Questionnaire

Agency: _____ Date: _____

A. Financial Risk Management Systems

1. Has a review of your Local Public Health Agency or County been conducted by the CDPHE Financial Risk Management Systems team?

CHOOSE ONE

2. If yes to A.1, what is the date of the last site visit or invoice sample/questionnaire:

3. What is your current risk rating:

CHOOSE ONE

4. Is there a Performance Improvement Process (PIP) in place or any follow-up required by FRMS?

CHOOSE ONE

Comments: _____

B. Operating Expenses

1. Are there any costs shared between WIC and other programs?

CHOOSE ONE

2. Are those costs properly allocated?

CHOOSE ONE

3. If yes to B.1 and/or B.2, what are the items and the allocation plan for each shared cost (e.g. Square footage study, FTE, etc.)

Item: _____ Allocation Plan: _____

Item: _____ Allocation Plan: _____

Item: _____ Allocation Plan: _____

Item: _____ Allocation Plan: _____

4. If no to B.2, explain: _____

5. Did you receive prior approval from the State Office for single equipment purchases over \$5,000?

CHOOSE ONE

6. Do you have on file a lease agreement for rent charges?

CHOOSE ONE

7. If no to B.5 or B6, explain: _____

C. Fiscal Contact

1. Is there a person assigned to monitor/administer the fiscal aspects of the WIC program?

CHOOSE ONE

Fiscal Contact Name: _____ Fiscal Contact Number: _____

Fiscal Contact Title: _____ Fiscal Contact Email: _____

2. Additional staff to be included in findings/close out information:

Name: _____ Number: _____

Title: _____ Email: _____

Name: _____ Number: _____

Title: _____ Email: _____

Name: _____ Number: _____

Title: _____ Email: _____

3. State WIC office staff monitoring Local Agency expenses:

WIC Fiscal Contact Name: _____ WIC Fiscal Contact Number: _____

WIC Fiscal Contact Title: _____ WIC Fiscal Contact Email: _____



Fiscal Monitoring Form

PART II: State Fiscal Monitoring Evaluation

D. WIC Operating Expenses

1. Supplies & Equipment

- a. Are invoices on file for all supplies and equipment charged to WIC?
- b. Are invoices, P.O., and/or receiving reports signed by an appropriate WIC and/or agency staff?
- c. Are supplies & equipment receipts detailed?

2. Mileage & Travel

- a. Do forms show employee name, destination, mileage, other expenses (e.g. meals, hotels, etc.) and purpose of trip?
- b. If travel was performed for more than one program, were costs allocated appropriately?
- c. If travel was for purposes other than routine travel between clinics, was prior approval obtained?
- d. Are forms signed and dated by both employee and supervisor?
- e. Do the forms have a certification statement?

3. Indirect

- a. Is there proper documentation of indirect costs on file at the local agency and the State Office?
- b. Is there a current CDPHE approved rate?
- c. What is the approve rate?
- d. Is the 10% de minimus indirect rate being charged in lieu of an approved CDPHE rate?
- e. Is WIC being charged directly for any costs included in the indirect cost pool?

F. Unallowable Costs

1. Are all costs (Supplies and Equipment, Mileage and Travel and/or Operational Costs) billed in the correct fiscal year?
2. Are all costs (Supplies and Equipment, Mileage and Travel and/or Operational Costs) billed allowable costs?
3. If no to F.1 and/or F.2, what item and amount is to be returned to the State WIC Program?
- Item: _____ Reason: _____ Amount: _____
- Item: _____ Reason: _____ Amount: _____

G. CDPHE Reimbursement Invoice Form

1. Does the local agency submit the required CDPHE invoice form?
2. Are invoices submitted in a timely manner?
3. Does the invoice list all personnel by name and title?
4. Does the invoice show the correct number of hours or percent of time by individual employee?
5. Are nutrition education/breastfeeding promotion costs identified?
6. Are time studies submitted in a timely manner?
7. Are there any issues or concerns with the invoice or time studies?

Comments: _____



CDPHE Financial Risk Management System

